

Canada Bread Company, Limited

Interim Report to Shareholders

for the **Third Quarter** ended September 30, 2004

Sales for the third quarter of $335.7 million compared to $324.0 million for 2003, while year-to-date sales of $970.8 million compared to $945.5 million last year. Earnings from operations for the third quarter increased to $29.0 million from $16.7 million last year, and year-to-date were $71.8 million compared to $46.2 million last year before restructuring costs. Results in 2003 were impacted by a strike at one of the Company's distribution centres, resulting in additional costs of $4.8 million in the third quarter ($7.4 million in the first nine months of 2003). Excluding this impact, earnings from operations before restructuring costs for the third quarter and year-to-date increased 35% and 34% respectively from last year.

Net earnings for the third quarter increased to $19.0 million ($0.75 per share), compared to $11.3 million ($0.44 per share) last year. Year-to-date net earnings were $47.4 million ($1.86 per share), compared to $23.8 million ($0.95 per share) last year.

All year-to-date earnings from operations comparisons exclude $7.4 million of restructuring costs in the first quarter of 2003 in the Fresh Bakery. Management believes this is the most appropriate basis on which to evaluate operating results, as restructuring costs are not representative of ongoing operating earnings.

Interest expense for the third quarter increased to $2.1 million from $1.8 million last year but was lower for the year-to-date at $5.0 million compared to $6.5 million last year. As outlined in note 4 to the consolidated interim financial statements, the Company has fixed approximately 70% of its exposure to short-term interest rates. As a result, the Company is now paying higher interest rates in the short term. Management believes this is prudent and that the Company has positioned itself to pay attractive rates in the long term. The effective tax rate for the third quarter increased to 29% from 25% last year, due to rate differences in foreign jurisdictions.

Cash flow from operating activities for the third quarter increased to $32.1 million from $28.5 million last year. Year-to-date cash flow from operating activities of $93.0 million increased significantly from $19.1 million last year due to higher earnings and improved working capital performance. Contributing to this improvement in working capital was a $20 million increase in the Company's accounts receivable securitization program in the first half of 2004. Capital expenditures for the quarter of $19.9 million included initial payments related to a major expansion at the Company's bagel plant in the U.K.

FRESH BAKERY

(fresh bakery products; specialty fresh pasta and sauces)

Fresh Bakery sales for the third quarter increased 5% to $242.1 million from $230.9 million last year, and year-to-date were $687.3 million compared to $662.6 million last year. Earnings from operations increased 109% to $19.5 million from $9.4 million last year, and year-to-date were $46.4 million compared to $28.3 million last year.

The Fresh Bakery operations continued to perform extremely well in spite of reduced carbohydrate diets, benefiting from a focus on more nutritious bakery products, and a sales mix that favours higher value-added product lines as consumers shift their buying patterns from white bread products to higher health products such as whole grains.

Sales volumes in the third quarter, both in the Company's operations and the industry, indicate that the negative impact on white bread of low carbohydrate diets may be declining, although there continues to be a trend towards increased consumption of whole grain and higher value products. Against this backdrop, the Fresh Bakery operations increased earnings, largely through improved sales mix and price increases which largely offset significant rising input costs. Strong sales of value-added products including whole grain, organic and specialty breads, and *Dempster's Stays Fresh* bread contributed to increased margins for the quarter. A national rollout of *Dempster's Healthy Way Organics*, including *100% Stone Ground Whole Wheat* and *14 Grain* breads, was completed in the third quarter, reflecting the Company's continuing investment in whole grain premium bakery products.

Frozen Bakery

(North American and U.K. frozen bakery products; including frozen par-baked and specialty bakery products)

Frozen Bakery sales for the third quarter increased slightly to $93.6 million compared to $93.1 million last year, while year-to-date sales were $283.5 million compared to $282.9 million last year. Earnings from operations increased 29% to $9.5 million from $7.3 million last year, and year-to-date increased to $25.4 million from $17.9 million last year.

The U.K. bakery operations produced strong results in the quarter, from increased volumes in the U.K. and initial sales into Europe. An expansion at the bagel plant in Rotherham, Yorkshire will be commissioned in early 2005 to increase production capacity. The North American Frozen business benefited from increased food service sales in the third quarter, although sales and volumes were largely consistent with last year due to a weaker retail market.

In both the fresh and frozen businesses, cost reduction continues to be a significant focus and contributed to results, particularly in eastern Canada where synergies from recent acquisitions and factory consolidations are being realized. Rising flour, packaging and energy costs continue to place cost pressure on the bakery operations, however, both the fresh and frozen businesses continue to manage rising input costs through price increases.

Other Matters

The Company declared a dividend of $0.06 per share payable on January 4, 2005 to shareholders of record on December 17, 2004.

Quarterly Financial Information

The following is a summary of unaudited quarterly financial information for the eleven interim periods to September 30, 2004 (in millions of dollars except per share information).

2004	March 31	June 30	**Sept 30**	Dec 31	Total
Sales	$ 305	$ 330	**$ 336**		$ 971
Net earnings for the period	12.5	15.8	**19.1**		47.4
Earnings per share (basic)	$ 0.49	$ 0.62	**$ 0.75**		$ 1.86
Earnings per share (diluted)	$ 0.48	$ 0.61	**$ 0.73**		$ 1.82
Cash flow from operating activities	$ 28.4	$ 32.5	**$ 32.1**		$ 93.0
2003					
Sales	$ 309	$ 313	**$ 324**	$ 317	$ 1,263
Net earnings for the period	3.3	9.2	**11.3**	11.8	35.6
Net earnings for the period before restructuring costs	8.1 4	9.2	**11.3**	11.8	40.4
Earnings per share before restructuring costs	$ 0.34	$ 0.36	**$ 0.44**	$ 0.47	$ 1.61
Earnings per share (basic)	$ 0.14	$ 0.36	**$ 0.44**	$ 0.47	$ 1.42
Earnings per share (diluted)	$ 0.14	$ 0.35	**$ 0.44**	$ 0.46	$ 1.39
Cash flow from operating activities [(1)]	$ (3.4)	$ (6.1)	**$ 28.5**	$ 36.0	$ 55.0
2002					
Sales	$ 231	$ 256	**$ 273**	$ 269	$ 1,029
Net earnings for the period	6.4	10.0	**11.9**	10.4	38.7
Earnings per share (basic and diluted)	$ 0.30	$ 0.47	**$ 0.55**	$ 0.48	$ 1.80
Cash flow from operating activities	$ (1.2)	$ 21.6	**$ 49.2**	$ 22.6	$ 92.2

[(1)] Amounts have been changed where required to conform with 2004 presentation of cash flows.

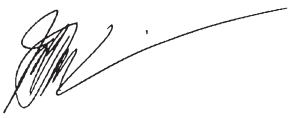
Forward-looking Statements

This document contains forward-looking statements, which are subject to risks and uncertainties that could cause actual results to differ materially from those expressed in, or implied by, these statements. Refer to the Company's Annual Report, management information circular, annual information form and other filings with the Ontario Securities Commission and Toronto Stock Exchange for further information on risks and uncertainties that could cause actual results to differ materially from forward-looking statements.

For the Board of Directors,



Richard A. Lan
President and Chief Executive Officer



Michael H. McCain
Chairman

October 27, 2004

Consolidated Balance Sheets

In thousands of Canadian dollars	As at September 30, 2004	As at September 30, 2003	As at December 31, 2003
ASSETS	*(Unaudited)*	*(Unaudited)*	
Current assets:			
Cash	**$ 25,785**	$ 17,864	$ 11,528
Accounts receivable (note 3)	**24,366**	56,767	44,699
Due from Maple Leaf Foods Inc. (net)	**3,437**	2,569	—
Inventories	**36,507**	30,484	33,205
Future tax asset – current	**4,952**	6,633	5,838
Prepaid expenses	**3,652**	5,574	2,081
	98,699	119,891	97,351
Property and equipment	**344,545**	330,146	335,811
Other long-term assets	**3,909**	3,986	2,657
Goodwill and other intangibles	**339,633**	330,687	341,814
Future tax asset – non-current	**720**	—	2,321
	$ 787,506	$ 784,710	$ 779,954
LIABILITIES AND SHAREHOLDERS' EQUITY			
Current liabilities:			
Accounts payable and accrued charges	**$ 143,184**	$ 154,907	$ 151,134
Due to Maple Leaf Foods Inc. (net)	**—**	—	443
Dividends payable	**1,525**	1,525	1,525
Income and other taxes payable	**12,915**	4,280	4,392
Current portion of long-term debt	**—**	33,586	26,941
	157,624	194,298	184,435
Long-term debt	**122,221**	136,749	126,710
Future tax liability	**27,943**	27,245	31,382
Shareholders' equity	**479,718**	426,418	437,427
	$ 787,506	$ 784,710	$ 779,954

The accompanying notes to the consolidated financial statements are an integral part of this statement.

Consolidated Statements of Earnings

In thousands of Canadian dollars, except per share amounts *(Unaudited)*	Quarter ended September 30,		Nine months ended September 30,	
	2004	2003	**2004**	2003
Sales	**$ 335,707**	$ 324,024	**$ 970,787**	$ 945,531
Earnings from operations before restructuring costs	**29,016**	16,698	**71,806**	46,217
Restructuring costs (note 2)	**—**	—	**—**	(7,422)
Earnings from operations	**29,016**	16,698	**71,806**	38,795
Other income (expense)	**(80)**	174	**14**	438
Earnings before interest and income taxes	**28,936**	16,872	**71,820**	39,233
Interest expense	**2,085**	1,778	**5,009**	6,546
Earnings before income taxes	**26,851**	15,094	**66,811**	32,687
Income taxes	**7,803**	3,793	**19,415**	8,885
Net earnings for the period	**$ 19,048**	$ 11,301	**$ 47,396**	$ 23,802
Earnings per share – basic	**$ 0.75**	$ 0.44	**$ 1.86**	$ 0.95
Earnings per share – diluted	**$ 0.73**	$ 0.44	**$ 1.82**	$ 0.94
Dividends per share declared	**$ 0.06**	$ 0.06	**$ 0.18**	$ 0.18
Weighted average number of shares (millions)	**25.4**	25.4	**25.4**	25.0

Consolidated Statements of Retained Earnings

In thousands of Canadian dollars except per share amounts *(Unaudited)*	Nine months ended September 30,	
	2004	2003
Retained earnings, beginning of period	**$ 277,279**	$ 247,746
Net earnings for the period	**47,396**	23,802
Dividends declared ($0.18 per share; 2003 – $0.18 per share)	**(4,575)**	(4,575)
Retained earnings, end of period	**$ 320,100**	$ 266,973

The accompanying notes to the consolidated financial statements are an integral part of these statements.

Consolidated Statements of Cash Flows

In thousands of Canadian dollars *(Unaudited)*	Quarter ended September 30, **2004**	Quarter ended September 30, 2003	Nine months ended September 30, **2004**	Nine months ended September 30, 2003
CASH PROVIDED BY (USED IN):				
Operating activities				
Net earnings for the period	**$ 19,048**	$ 11,301	**$ 47,396**	$ 23,802
Items not affecting cash:				
Depreciation and amortization	**10,212**	9,821	**31,216**	28,574
Future income taxes	**(297)**	918	**(952)**	(3,220)
Loss (gain) on sale of property and equipment	**113**	(125)	**105**	(293)
Changes in non-cash operating working capital	**3 060**	6,630	**15,304**	(29,795)
	32,136	28,545	**93,069**	19,068
Financing activities				
Dividends paid	**(1,525)**	(1,525)	**(4,575)**	(4,335)
Increase in long-term debt	**11,415**	22,788	**15,625**	118,703
Decrease in long-term debt	**(23,618)**	(14,600)	**(40,307)**	(190,105)
Increase in share capital	**—**	—	**—**	106,000
	(13,728)	6,663	**(29,257)**	30,263
Investing activities				
Additions to property and equipment	**(19,922)**	(19,577)	**(44,452)**	(39,500)
Proceeds from sale of property and equipment	**72**	255	**791**	539
Purchase of net assets of businesses, net of cash acquired (note 6)	**(5,894)**	(5,586)	**(5,894)**	(5,586)
Other	**—**	691	**—**	691
	(25,744)	(24,217)	**(49,555)**	(43,856)
Increase (decrease) in cash and cash equivalents for the period	**(7,336)**	10,991	**14,257**	5,475
Cash and cash equivalents, beginning of period	**33,121**	6,873	**11,528**	12,389
Cash and cash equivalents, end of period	**$ 25,785**	$ 17,864	**$ 25,785**	$ 17,864

The accompanying notes to the consolidated financial statements are an integral part of this statement.

Segmented Financial Information

In thousands of Canadian dollars	Quarter ended September 30,		Nine months ended September 30,	
(Unaudited)	**2004**	2003	**2004**	2003
Sales				
Fresh Bakery	**$ 242,108**	$ 230,893	**$ 687,290**	$ 662,605
Frozen Bakery	**93,599**	93,131	**283,497**	282,927
	$ 337,017	$ 324,024	**$ 970,787**	$ 945,531
Earnings from operations before restructuring costs				
Fresh Bakery	**$ 19,534**	$ 9,361	**$ 46,361**	$ 28,272
Frozen Bakery	**9,482**	7,337	**25,445**	17,945
	$ 29,016	$ 16,698	**$ 71,806**	$ 46,217
Capital expenditures				
Fresh Bakery	**$ 6,847**	$ 5,336	**$ 19,743**	$ 14,935
Frozen Bakery	**13,075**	14,241	**24,709**	24,565
	$ 19,922	$ 19,577	**$ 44,452**	$ 39,500
Depreciation and amortization				
Fresh Bakery	**$ 5,456**	$ 5,058	**$ 16,294**	$ 14,704
Frozen Bakery	**4,756**	4,763	**14,922**	13,870
	$ 10,212	$ 9,821	**$ 31,216**	$ 28,574

In thousands of Canadian dollars	As at September 30,		As at December 31,
(Unaudited)	**2004**	2003	2003
Total assets			
Fresh Bakery	**$ 405,954**	$ 400,988	$ 390,624
Frozen Bakery	**375,839**	360,726	363,483
Non-allocated assets	**5,713**	22,996	25,847
	$ 787,506	$ 784,710	$ 779,954

The accompanying notes to the consolidated financial statements are an integral part of this statement.

Notes to Consolidated Financial Statements

(For the quarters ended September 30, 2004 and September 30, 2003)

1. Significant Accounting Policies

The unaudited interim consolidated financial statements should be read in conjunction with the annual consolidated financial statements for the year ended December 31, 2003. These unaudited interim consolidated financial statements have been prepared in accordance with Canadian generally accepted accounting principles using the same accounting policies as were applied in the consolidated financial statements for the year ended December 31, 2003.

a) Segmented Information

As of January 1, 2004, to reflect its new organizational structure, the Company has segmented results into two operating segments: Fresh Bakery Group and Frozen Bakery Group. The Fresh Bakery Group comprises fresh bakery products and specialty fresh pasta and sauces. The Frozen Bakery Group comprises frozen bakery products; including frozen par-baked and specialty bakery products. Prior period information has been included for comparability.

b) Hedging Relationships

As discussed in note 2(l)(i) of the annual consolidated financial statements for the year ended December 31, 2003, the Company is in compliance with CICA Accounting Guideline 13 relating to hedging.

c) Accounting for Asset Retirement Obligations

The application of new accounting standard, Section 3110, "Accounting for Asset Retirement Obligations" as disclosed in note 2(l)(ii) of the annual consolidated financial statements for the year ended December 31, 2003 did not have a material impact on the financial statements of the Company.

d) Customer Rebates and Promotional Allowances

A new accounting standard, EIC-144, became applicable in the third quarter of 2004. This new standard, which generally requires that rebates and other promotional allowances received from a vendor be accounted for as a reduction of the cost of product acquired, has no material impact on the Company's financial statements. The Company is reviewing its income statement classification of certain sales incentives which it pays to its customers, including rebates and promotional programs, certain of which are classified as cost of sales.

e) Comparative Figures

Certain 2003 comparative figures have been reclassified to conform with the financial statement presentation adopted in 2004.

2. Restructuring Costs

During the first quarter of 2003, the Company recorded a $7.4 million restructuring charge ($4.8 million net of tax), related to the closure of its bakery in London, Ontario and certain other operational restructuring items.

3. Accounts Receivable

Under revolving securitization programs, the Company has sold, with limited recourse, certain of its trade accounts receivable to financial institutions. The Company retains servicing responsibilities and assumes limited recourse obligations for delinquent receivables. At September 30, 2004, trade accounts receivable amounting to $70.0 million (September 30, 2003 – $50.0 million, December 31, 2003 – $50.0 million) had been sold under these programs.

4. Derivatives

In the ordinary course of business, the Company enters into derivative financial instruments to reduce underlying fair value and cash flow risks associated with foreign currency, interest rates and commodity prices. If the Company had not entered into these contracts, earnings from operations for the third quarter would have been lower by $0.3 million ($0.5 million year-to-date) and interest expense for the third quarter would have been higher by $0.0 million ($1.3 million year-to-date).

On June 28, 2004, the Company entered into interest rate swap contracts with Maple Leaf Foods Inc. on a notional amount of $130 million with maturity dates from June 28, 2007 to June 28, 2014. Consequently, the Company has fixed approximately 70% of its notional exposure to interest rates, at interest rates between 3.9% and 5.4%.

5. Pensions

During the period, the Company recorded $1.8 million in net benefit plan expense (2003 – $2.0 million). For the first nine months of 2004, the Company recorded $6.0 million in net benefit plan expense (2003 – $6.0 million).

6. Acquisitions

As discussed in note 15 of the annual consolidated financial statements for the year ended December 31, 2003, the Company acquired Olafson's Baking Company in 2002. During the third quarter of 2004, the Company made the final $5.9 million payment related to this purchase. A portion of this payment had been previously provided for, and as a result only $1.6 million of this payment resulted in an increase to goodwill.

7. Supplemental information

	Quarter ended September 30,	Nine months ended September 30,
	2004	**2004**
Cash taxes paid	**$ 2,690**	**$ 11,977**
Cash interest paid	**2,742**	**6,477**



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